

ASCII MASTER FLOW - PANEL 1/12: PRICE LEVEL AND RATE

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| Price level = index at a date                                |
| Inflation = sustained rise; rate = % change in stated index |
| disinflation: rate down, level may rise | deflation: level down|
| reflation: recovery from depressed prices/demand            |
| stagflation: inflation + weak growth/jobs | hyper: explosive |
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ASCII MASTER FLOW - PANEL 2/12: CAUSAL TAXONOMY

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| demand > capacity -> demand-pull          |
| input/supply disruption -> cost-push        |
| world price + exchange rate -> imported inflation |
| wages + margins + expectations -> built-in persistence |
| first-round relative shock -> possible second-round breadth |
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ASCII MASTER FLOW - PANEL 3/12: HEADLINE / FOOD / FUEL / CORE

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| Headline = full selected basket          |
| CPPI = official consumer-food sub-index  |
| Fuel = energy component / pass-through signal |
| Core = analytical exclusion, commonly food and fuel removed |
| Rule: state definition; core can exceed headline |
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ASCII MASTER FLOW - PANEL 4/12: CPI 2024 ARCHITECTURE

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| Compiler: MoSPI / NSO | release introducing series: 12-02-26 |
| Base 2024=100 | weights: HCES 2023-24 | 358 weighted items |
| Rural + Urban -> Combined by corresponding weights |
| COICOP 2018: 12 divisions | Jevons elementary |
| Young/Modified Laspeyres higher aggregation |
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ASCII MASTER FLOW - PANEL 5/12: CPI FAMILY AND WEIGHTS

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| CPI Combined weights: food/beverages 36.753; housing and |
| utilities 17.665; transport 8.796; health 6.100          |
| Labour Bureau: CPI-IW 2016=100; CPI-AL/RL 2019=100       |
| Purpose/basket differs -> do not substitute one for another |
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ASCII MASTER FLOW - PANEL 6/12: WPI

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OEA, DPIIT	2022-23=100	first current release 15-06-2026	
Primary 22.75730	Fuel 14.11433	Manufactures 63.12837	
957 goods	no services	not household cost of living	
separate PPI products;	dated five-year WPI transition plan		
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ASCII MASTER FLOW - PANEL 7/12: GDP DEFLATOR + INDEX FORMULAE

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	Deflator = nominal GDP / real GDP x 100	
	domestic final goods/services variable production basket	
	imports excluded directly; exports included	
	Laspeyres q0 Paasche qt Fisher = sqrt(L x P)	
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ASCII MASTER FLOW - PANEL 8/12: MEASUREMENT RISKS

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| annual rate = current momentum + comparison-base influence |
| seasonality != cycle | relative price != general inflation |
| substitution | quality | new goods | outlets | missing data |
| series break -> use official back series/link, not raw splice|
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ASCII MASTER FLOW - PANEL 9/12: REAL EFFECTS

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| real wage/income = nominal purchasing power after inflation |
| Fisher:  $r \approx i - \text{expected inflation}$ ; exact  $(1+i)/(1+\pi)-1$  |
| unexpected inflation: fixed borrower gains, lender loses    |
| inflation tax erodes cash; indexation leaves basis/lag risk |
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ASCII MASTER FLOW - PANEL 10/12: PHILLIPS CURVE

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| short run: less slack can raise inflation      |
| expectations adjust -> short-run curve shifts |
| long run: no permanent trade-off; curve vertical |
| NAIRU is estimated, changing, not observable or statutory |
| supply shock -> inflation and unemployment can rise together |
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ASCII MASTER FLOW - PANEL 11/12: BUSINESS CYCLE

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| trough -> recovery -> expansion -> peak -> contraction      |
| output gap = (actual-potential)/potential x 100              |
| leading / coincident / lagging dashboard                     |
| two negative q-o-q quarters = technical shorthand only      |
| India: seasonal adjustment + revisions; no statutory dater  |
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ASCII MASTER FLOW - PANEL 12/12: POLICY AND ANSWER SPINE

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| define -> choose/date index -> diagnose source/breadth      |
| -> locate cycle -> trace expectations/real/distribution      |
| -> RBI for demand/expectations (Topic 4 instruments)        |
| -> fiscal/supply tools for bottlenecks + targeted protection |
| -> qualify lags, revisions, incentives -> balanced verdict   |
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